VOL. 02 · 15 MAY – 26 JUNE · MMXXVI

A documentary record of the six weeks in which Citadel Capital Limited became Hyperion One Limited and walked into administration on its own terms — while the deal engine kept firing, a criminal charge was answered, and the machine that surfaced this report ran every single day.

Still here.

Volume One closed on a stress test and a question: could a firm running eleven concurrent fronts off one operator's memory turn motion into architecture before something broke? These six weeks — *15 May to 26 June 2026, New Zealand time* — are the answer, and it is not the tidy one. The thing that broke was the corporate shell itself, and it broke *on purpose*.

On 2 June, at four o'clock in the afternoon, **Citadel Capital Limited was renamed Hyperion One Limited and placed into voluntary administration** — a controlled demolition of the original holding company that defused an Inland Revenue liquidation due to be heard on 2 July, and that the IRD formally discontinued on 26 June. In the same window the deal engine did not pause for breath: McLeans Mansion went public, a Wellington tower drew a $6.2m bidding contest, a West Auckland site was worked up from scratch, and a 53-room heritage carcass moved into a seismic-strengthening tender. And a wholly new kind of front opened — *criminal* — answered on 26 June with a not-guilty plea and a King's Counsel brief.

What follows is the unvarnished version, drawn from every surface the programme touches — Dropbox, Gmail, Google Drive, Calendar, Notion, and the Lightspeed brain itself. Four sections — *Projects*, *Fronts*, *Field*, *Machine* — and, at the close, an honest accounting of what the machine still cannot do. The deal engine is real and it is fast. The control plane is not yet built. This volume documents both, because a record that flatters is not a record.

Farhad Moinfar

Editor · Citadel · Auckland · 26 June 2026 NZT

Contents.

Six weeks, four sections, one operating layer.

DROPBOX · GMAIL · GOOGLE DRIVE · CALENDAR · NOTION · LIGHTSPEED BRAIN

By the numbers.

Six weeks reduced to a balance sheet.

2 Jun

CITADEL CAPITAL → HYPERION ONE

Renamed and placed into voluntary administration, 4:00pm. Co. #6262074. Grant & Botterill, Waterstone.

26 Jun

IRD LIQUIDATION DISCONTINUED

CIV-2026-409-223, set for 2 July, withdrawn. The shell came down on Citadel's terms, not the Commissioner's.

$6.2m

126 FEATHERSTON · LIVE BID

Mike Price's lifted leasehold offer; Charlie Zheng and a third party behind him. "Work both, take the highest, fast."

$1.98m

BABICH DRAWDOWN NO. 16

Actioned 26 June. Against a $51.64m budget now carrying a $6.53m contingency overrun and a $7.79m uplift ask.

$1.40m

NOPA OFFSETS STAGED

Barbarossa One $256,545 + Castra $1,139,832, routed to defend FY23/FY24 positions before two SPVs are struck off.

74.98%

HYPERION WATERSHED VOTE

The DOCA scenario that fails by two-hundredths of a percent — and the single creditor conversion that turns it.

CRI-…027

POLICE V MOINFAR

Three charges, a not-guilty plea, David Jones KC briefed, first call 7 July. A criminal front, new this quarter.

RMA/1650

MCLEANS SUBDIVISION CONSENT

Two-lot subdivision granted 24 June; the heritage carcass moved to a Stage-1 seismic tender.

~49,600

NEW BRAIN SUMMARIES

The Lightspeed corpus grew from 104,093 to 153,679 summaries across the window; 126,279 source documents.

22 / 23

MORNING BRIEFINGS SHIPPED

Of 23 weekdays; midday and evening 23/23. One missed morning, 22 June. The cadence held.

23

DAYS "SHEBA" WAS DOWN

The render/compute node reported unreachable on every single weekday of the window. The machine ran degraded.

0

NOTION WRITES IN THE WINDOW

The structured-state migration — Volume One's proudest machine result — recorded nothing new for six weeks.

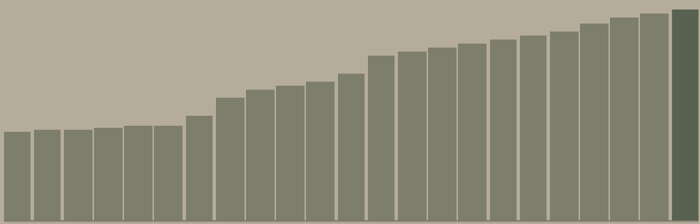
By the cadence.

The daily machine, and where the weight fell.

WHERE THE MATTERS CONCENTRATED · MENTIONS ACROSS 23 WEEKDAYS

citadel-intel	897
ERA · Duncan	688
Babich Rise	359
McLeans / Mansion	~325
Hyperion	230
Albany	188
IRD	112
Police (new)	77

THE BRAIN CORPUS · SUMMARIES HELD, 15 MAY → 26 JUNE



104,093 → 153,679 summaries over 126,279 source documents — roughly half as much again across the window.

PRODUCTION CADENCE · WEEKDAYS

Morning briefings	22 / 23
Midday check-ins	23 / 23
Evening digests	23 / 23
Event sidecars	23 / 23
Team rollups	69 / 69
Inbox captures	7

THE FOUR FULCRUM DAYS

26 May	Five stacked: Hyperion, Babich, Bayleys, 126 Featherston, procurement.
2 Jun	Citadel Capital enters voluntary administration, 4:00pm.
17 Jun	Privacy / OIA campaign fires; Duncan's claim valued at $1.
26 Jun	ERA, Hyperion GST, NOPA, plea, 126 bid — one day; pipeline 15.3/min.

READING THE CADENCE

The machine produced through travel, the administration and the criminal file. The one missing morning — 22 June — is the only true gap in 23 weekdays.

Projects

FOUR DEVELOPMENTS · MCLEANS · RYU ALBANY · BABICH RISE · 126 FEATHERSTON

01 · THE CARCASS GOES PUBLIC

McLeans Mansion.

387 Manchester Street, Christchurch · Imperator Holdings Limited · Heritage NZ Category 1

Plate i. The frontage, McLeans Mansion — "the largest timber residence in the southern hemisphere." In Volume One it was a thesis. In these six weeks it acquired an Instagram grid, a subdivision consent, a Revit model and a seismic-strengthening tender.

On 11 June at 16:59, Zach Venning launched the McLean's Instagram. "She's alive." The project that had lived in a Notion database and a design pool stepped, deliberately, into public view.

The McLeans story this period is a heritage carcass turning into a real construction project. Two on-site design workshops anchored it — **22 and 25 May**, at Manchester Street and The Welder — pulling Studio 11:11, Lepoutre, Jared Lockhart and BSW into one room, opening with Taylor Dunn's point-cloud walkthrough. The retainer settled at **$12,500 a month**; by 16 June the design language had a name — the *Ghost Wall* concept with artist Matt Liggins — and the mansion was accepted into **Open Christchurch 2027**.

Then the instrument caught up with the ambition. On **24 June the two-lot subdivision consent RMA/2026/1650 was granted**. The project crossed into the engineering reality of a Category 1 building: Richards Consulting Engineers (Project 26244) issued Contractor Advisory Note 03 Rev 2, and CPMC with QS **Greg Cutfield (Cuesko)** began a Stage 1 seismic-strengthening tender pack under an **NZS 3910:2013** contract (consent BCN/2019/6940). On 24 June Nathan Varga delivered the first-look **Revit model** off the point cloud.

> *The cap table was never the prize. The work is. This was the quarter the work acquired a consent number and a tender schedule.*

And it opened a sale line. On **24 June** Farhad pitched the adaptive-reuse vision to Paul Evans and, in parallel, to Webbs — a 53-room mansion reborn as hospitality, art, fashion and design retail at ground, private serviced suites above; interiors by Studio 11:11 with Lepoutre, landscape by Jared Lockhart. Farhad and Annabel Smart are on-site **5–8 July**. The 176 Gloucester option ran alongside at $10,000/month; 74 Oxford Terrace, countered at $5.5m, died when the vendor balked at the due-diligence window.

THE ASSET

Address	387 Manchester St, Christchurch
Heritage	Category 1 (HNZ)
Rooms	53
SPV	Imperator Holdings Ltd
Subdivision	RMA/2026/1650 · 24 Jun
Consent / contract	BCN/2019/6940 · NZS 3910
Structural / QS	RCE 26244 · Cuesko
Forecast GDV	$18m

THE ROOM, THE PERIOD

- Studio 11:11 · Lepoutre · Jared Lockhart
- BSW (Marc Peterson) · CPMC (Lynch, Russell)
- Matt Liggins · Anton Forde · Milly Wall — art
- Elle Foenander — Föenander Galleries

Plate ii. The principal staircase. The seismic tender will pre-drill every fixing into this timber; the conservation covenant governs every move.

THE DISCIPLINE THE PERIOD IMPOSED

The honest risk on McLeans was never the narrative — it is the gap between an editorial vision and a priced, consented, structurally-sound build. These six weeks narrowed that gap on every axis at once: a consent number (RMA/2026/1650), a contract form (NZS 3910:2013), a QS on charge-up until a fixed fee is set, a structural advisory note, and a Revit model that finally lets the design team work from measured reality rather than renders.

The open decision carried into July is the one that always mattered: *does the building earn the right to do everything, or does a single phase-one use earn it first?* The 5–8 July Christchurch trip — mansion tour at 11:30 on 8 July with Fortis's James Beale and Jono Ball in the room — is where the sale narrative and the build narrative have to be reconciled into one.

> *A consent, a contract form, a QS and a measured model. The mansion stopped being a mood board and became a project that can be built and sold.*

02 · CONTRACTS SIGNED, ENTITIES IN FLUX

RYU Albany.

1 Munroe Lane (Pasargard) · 60 Don McKinnon (Telesto) · 4 Elliot Rose · Citadel Albany masterplan

Plate iii. Aerial concept, RYU Albany. In Volume One it was three variations sent to one agent in an afternoon. This quarter the third variation — 4 Elliot Rose — became an executed contract, and two SPV shells fell off the companies register.

The 29 April salvo turned transactional. On 28 May the 4 Elliot Rose SPA was executed and sent to the agent — and the back office immediately exposed the cost of letting SPV shells lapse.

On **28 May** the executed SPA for **4 Elliot Rose Avenue** went to Matty Ma and Alexander Dorrington (Jourdan Griffin, Sam Pinson); Matty's reply — *"Received with thanks. All yours now."* The vendor's lawyer-approval clause runs ten working days; clause 22.2 obliges the vendor to provide all property reports within five. The option-fee machine kept ticking: **Telesto / 60 Don McKinnon $9,500** on 1 June, **Pasargard / 1 Munroe Lane $5,000** monthly on the 10th, the Albany April consultant pack at **$15,911.87**.

Then the administrative truth surfaced. **Pasargard Securities was removed from the Companies Office register** and **Telesto Holdings temporarily struck off** for unfiled returns (reinstatement mid-July). The SPVs that hold the Albany contracts had quietly fallen off the register — a clean illustration of Volume One's warning that the back office is not yet worthy of the deal engine it serves. All future Albany invoices were re-addressed to Telesto; Russell Bartlett's Invoice 5048 and the frozen Initia report (INV006798) were cleared to unblock the consenting work.

> *The deal engine signs contracts faster than the back office keeps the signing entities alive. Two SPVs lapsed mid-transaction.*

The masterplan moved on the planning axis. RDT Pacific (Scott Mackay) ran weekly RC design sessions across 1 Munroe Lane and 60 Don McKinnon; the consultant bench — Tattico, TransUrban, McKenzie & Co, Initia, SureFire (capped $6,000), RMM on landscape — was sequenced behind the section 92 RFIs, with no further survey work until mid-August. On 26 June, McKenzie & Co hydrant flow-testing of **$1,485** for the Watercare RC application was confirmed.

ALBANY CARD

1 Munroe Lane	Pasargard Securities
60 Don McKinnon	Telesto Holdings
4 Elliot Rose	SPA executed · 28 May
Pasargard	Removed from register
Telesto	Struck off · restore mid-Jul
Planner	RDT Pacific · Scott Mackay
Survey	Paused to mid-Aug (s92)

OPTION FEES · THE PERIOD

Telesto · 1 Jun	$9,500
Pasargard · 10 Jun	$5,000
Apr CPR pack	$15,911.87
Hydrant test · 26 Jun	$1,485

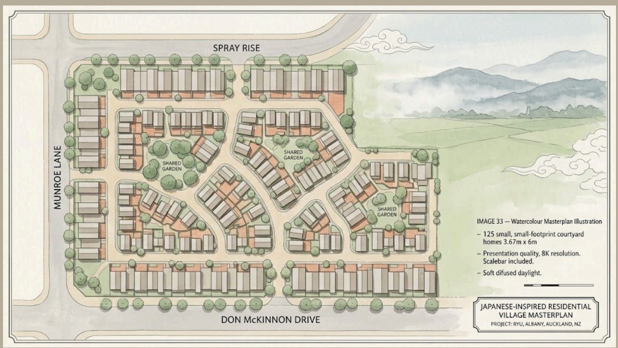


Plate iv. Watercolour masterplan. The drawing the project sells.

Plate v. Evening courtyard. The atmosphere the village promises — against the precinct objectives it must thread.

The pattern Volume One named held: every Sino-NZ Albany deal runs the same fast channel — Matty Ma as intermediary, Alexander Dorrington on the paper, Tattico and RDT on the planning. The new lesson of these six weeks is structural: the channel moves faster than the entities behind it. When the SPVs that hold the contracts are allowed to lapse on the register, the speed of the deal engine becomes a liability the back office has to chase. The mid-July Telesto reinstatement is the cleanup; the discipline question is why the strike-off happened at all.

03 · THE CONTINGENCY CLIFF, CONTINUED

Babich Rise.

125-lot subdivision, Henderson Valley · Carrack Capital Limited

Plate vi. Babich Rise from drone. Volume One left the uplift $1.1m apart. This quarter Drawdown No. 16 put the real number on the table — a $6.5m contingency overrun and a $7.79m facility-uplift ask — and the engineer-to-contract changed hands.

On 24 June, Kingstons issued Drawdown Report No. 16. The contingency the quarter had been circling finally printed: a $6.53m forecast overrun and a recommended $7.79m facility uplift to complete.

Rory Griffin and Ryan Hutchings at Kingston Partners issued **Drawdown Report No. 16** to FMT and Capital Group's Michael Albert. Against a budget of **$51,638,493** — FMT facility $47.2m plus Capital Group mezzanine $4,438,493, nil equity — the period drawdown was **$1,980,812**. The contingency line is the headline: against an allowance of $2.49m, forecast spend of $9.02m leaves an **uncommitted balance of negative $6,531,095**. Kingstons' recommendation: a further **$7,789,022** of facility to reach the line.

Two structural changes sit underneath the numbers. First, the engineer-to-contract changed: **Shaun Kearney of Terra was replaced by Kane Wilcox of Maven Associates from 4 June**, with Terra dropping to support-only — the resolution of the Volume One concern that successive Terra cost-to-completes were not representative. Second, the programme slipped: **Stage 1 practical completion moved from 31 August to 25 September** on the Rev. 17 schedule, though the developer disputes the slip and still targets August.

> *Babich does not just have to ship. It has to ship visibly, with documentation FMT, Capital Group and a new engineer-to-contract can all read the same way.*

A new front opened on the consent itself. On 25 June Brandon moved to file evidence of a third party's interference with the Babich Road consent — an **s.357B objection (BUN60432511)** to additional Auckland Council charges, to be decided on the papers by Commissioner Peter Reaburn — seeking a stay. In parallel, **Fortis Capital** (James Beale) was brought in on a single-funder residual-stock facility, the financing conversation Volume One's $1.1m gap always pointed toward.

BABICH · DRAWDOWN NO. 16

Budget	$51,638,493
FMT facility	$47.2m
Capital Group mez	$4,438,493
DD No. 16 draw	$1,980,812
Uncommitted	($6,531,095)
Uplift sought	**$7,789,022**
ETC	Maven (Wilcox) ex-Terra
Stage 1 PC	25 Sep (disputed)

04 · THE BIDDING WAR

126 Featherston.

Featherston Tower, Wellington · the pivot becomes a contest

Plate vii. 126 Featherston. The pivot Volume One documented matured into a live contest: by 26 June Mike Price had lifted to $6.2m with Charlie Zheng and a third bidder behind him — and the funder was quietly backing the competition.

"Work both up and take the highest, fast." By 26 June the Wellington tower had three interested parties, a $6.2m top bid — and the awkward fact that FMT was funding the people bidding against Citadel's own sale.

The period turned 126 Featherston from a pivot into an auction. Savills (Martin Hebler) took the general agency once Castra Capital's signing authority was resolved on 8 June; CBRE Wellington (Dharmendra Mistry) worked a parallel line. By **26 June** the contest was live: Paul Bendall called to report **Mike Price had lifted to $6.2m**, with **Charlie Zheng (Cornerstone)** incoming and **Mike McCobie (Balanced Investments)** a third — both met twice in the week, both requesting sale-and-purchase agreements for early the following week.

The structural curiosity, visible only in the email traffic: **FMT had indicated funding support to the competing bidders** — the funder backing the buyers of an asset Citadel is selling. Farhad's instruction to CBRE was characteristically direct — *"work Charlie and McCombie and let's squeeze another mil and a boat out of them"* — to which Mistry's reply was the line of the quarter: *"Unfortunately he sold the boat!"*

Underneath the contest, the building had to be kept running. Flick / Lloyd Richardson (Sean Mulholland, Nick Welch) gave notice they would **cease managing the tower on 30 June**, requiring a named property contact and offering to write off June's fees if the outstanding statement cleared; Schindler issued a **final notice (invoice #2855245)** threatening legal action; an interim ground-rent payment and a **$2,000** clearance went to Wellington City Council to lift a blacklist.

THE CONTEST · 26 JUN

Mike Price	$6.2m · lifted
Charlie Zheng	Cornerstone
Mike McCobie	Balanced Inv.
Agency	Savills · CBRE
Funder	FMT (backing bidders)
Mgmt ends	30 Jun (Flick)

Plate viii. The tower lobby. An asset to be sold while it is still being run.

Fronts

HYPERION · IRD & THE NOPA CHESS · ERA · THE CRIMINAL FILE · CASTRA

FRONT 01 · THE CONTROLLED DEMOLITION

Citadel Capital becomes Hyperion One.

Company #6262074 · Voluntary administration · Waterstone Insolvency

This is the defining event of the six weeks, and it was a decision, not an accident. Faced with an IRD liquidation proceeding — **CIV-2026-409-223**, High Court Christchurch, served on 25 May and set down for **2 July** — Citadel did not wait to be wound up. On **2 June at 4:00pm**, by board resolution under s239I, **Citadel Capital Limited was renamed Hyperion One Limited and placed into voluntary administration**, with **Damien Grant (IP131) and Adam Botterill (IP143) of Waterstone** appointed administrators. The "Citadel Capital" name was freed for a clean entity; the tax liability stayed with the shell.

The mechanism is a Deed of Company Arrangement. The positioning paper — authored 10 June, privileged — proposed a **DOCA paying 100 cents in the dollar over 24 months** on an admitted unsecured pool of roughly **$1.27m across 13 creditors** (IRD's GST claim alone $228k), against a liquidation alternative that returns *nil*: there are no realisable assets. The arithmetic is a knife-edge. The watershed vote needs 75% by value. The base scenario lands at **74.98% — it fails by two-hundredths of one percent.**

> *A controlled demolition: bring the shell down on a deed that pays creditors in full over two years, rather than be wound up on the Commissioner's timetable for nothing.*

The swing vote is the man on the other side of the employment file. **Converting Paul Duncan's $90k claim to "for"** takes the vote to **82.1% — it passes.** Elle Foenander's $190k carries a related-party risk under s239AM; Nat Moinfar Design's $60k is excluded as related; the biggest friendly creditor is **BSW Architects at $400k**. The first creditors' meeting ran on 15 June at Waterstone; the **watershed meeting is set for 1:00pm on Wednesday 8 July**. The administrators have flagged a director-conduct review under ss135–136 — the standard, expected scrutiny.

On **26 June the IRD discontinued the liquidation.** The 2 July hearing fell away; the shell came down on Citadel's terms. What remains is execution — outstanding GST returns ordered filed before 3pm on 26 June ahead of the DOCA (Cleaver's Cecilia Wu drafting the March–May returns off supplier invoices, with bank reconciliation outstanding back to March 2022 — a real gap), and an associated-company guarantee standing behind the 100% distribution.

100c	$1.27m	74.98%	8 Jul
DOCA · IN THE DOLLAR	**ADMITTED POOL · 13 CREDITORS**	**BASE VOTE · FAILS**	**WATERSHED MEETING**
Over 24 months. Liquidation alternative: nil.	IRD GST claim $228k within it.	Convert Duncan ($90k) → 82.1%, passes.	1:00pm. The deed stands or falls.

FRONT 02 · THE TAX-LOSS CHESS GAME

The NOPA chess.

Galleon · Mirador · Castra · Barbarossa · ARX — losses raced against the register.

The tax front this quarter was not defence — it was a tightly-timed reallocation of group losses, run against a hard deadline: *once a company is struck off the register, its losses are gone forever.* The win came first. On **28 May the IRD withdrew its statutory demand against Alcazar One** (Kathy Gavin to James Ryan), reversing the default GST assessments and leaving only an August-2025 residual of **$30,637.82**.

Then the chess. Cleaver's Cecilia Wu prepared Notices of Proposed Adjustment to redirect group losses before two SPVs left the register. On **Galleon Capital** (IRD 132-806-252), an FY2023 taxable profit of **$3,327,945.49** — which Brandon disputes, since seven units did not settle until FY24/25 — was cut by a Castra group-loss offset of **$1,056,600.26** to **$2,271,345.23**. On **Mirador Holdings** (132-475-687, in removal), FY2024 income of **$3,174,264** was taken to **zero** by brought-forward losses of $1,486,877.94 plus Barbarossa One ($1,252,444.89) and Castra ($434,941.16) — flagging interest income double-counted by the prior accountants along the way.

> *Losses are a wasting asset. Once the company is struck off, they vanish. The NOPA window was a race against the Companies Office clock.*

The losses already lost are the lesson: **ARX Holdings** (FY2023 profit $1,550,879) and **Mistral One** were struck off before their losses could be applied — gone. That cost turned the prior accountants' work into a brewing claim: Brandon directed that Lowthers' interest double-counting and "breaches of expected accounting fiduciary duties" be documented as the basis of a negligence action.

THE OFFSETS, STAGED

ENTITY	POSITION
Galleon FY23 profit	$3,327,945
— Castra offset	($1,056,600)
Galleon revised	**$2,271,345**
Mirador FY24 income	$3,174,264
— b/f losses	($1,486,878)
— Barbarossa One	($1,252,445)
— Castra	($434,941)
Mirador revised	**$0.00**

WHAT IT COST TO LEARN

ARX ($1.55m FY23 profit) and Mistral One were struck off *before* their losses could be claimed — forfeited. Mirador's $351k of Castra losses survived only because the FY24 amendment was filed before removal. The discipline gap is a real-dollar gap.

FRONT 03 · DUNCAN V CITADEL, CONTINUED

ERA 3407924.

The employment matter that became a creditor vote.

Paul Duncan's employment claim ran on two tracks at once this quarter, and the administration fused them. In the Authority, respondents' witness statements — Farhad, Brandon Morley, Nicki Colebrook — were filed and served on **28 May**; the Investigation Meeting is set for **18–19 August 2026**; Member Larmer's joint-bundle directions fell due 24 June. Nathan Santesso of TWA acts for Duncan.

Then the name-change drew scrutiny. Santesso put the Companies Office swap — Citadel Capital becoming Hyperion One — and a Newsroom article in front of Authority Officer Noopur Pathakjee. The Authority required, by **12pm on 26 June**, the administrator's written consent for the proceeding to continue and full disclosure of the company's financial position, observing that the funding arrangement could be "concerning if it has effectively limited the funds available to the applicant." Drennan provided the consent — valuing Duncan's disputed claim at **$1 for voting purposes** — and the compliance filing landed at noon on 26 June; Pathakjee acknowledged it and opened the applicant's window to respond to a proposed adjournment.

> *The same $90k claim is a liability in the Authority and the swing vote at the watershed. Duncan is simultaneously the adversary and the creditor who decides whether the deed passes.*

TWO TABLES, ONE CLAIM

In the ERA: Duncan's alleged $90k commitment (Apr–Dec 2025) is disputed in full. IM 18–19 Aug 2026.

In the administration: the same $90k is the conversion that lifts the DOCA vote from 74.98% to 82.1%.

The pivot: administrator consent + financial disclosure delivered 26 Jun; Drennan's view is that the Authority should adjourn until after the 8 July watershed meeting.

FRONT 04 · A NEW KIND OF FRONT

Police v Moinfar.

CRI-2026-004-005027 · PRN 39982207 · first call 7 July, Auckland District Court

The genuinely new front of the quarter is criminal. Three charges of driving while suspended — CRNs 26004007353/354/355 — were assembled by a constable using **Auror** automatic-numberplate-recognition queries. The defence case, briefed to **David Jones KC**, is exclusion-led: a section 30 Evidence Act application to exclude the Auror evidence, with an abuse-of-process stay in the alternative. The factual seams are promising — Count 1 alleges 11 May, but the NZTA licence suspension did not start until **25 May**; the vehicle is Natalie's Range Rover with no driver identification; the numberplate read carries a "7V" anomaly.

Around the prosecution, Citadel ran a deliberate **privacy and official-information counter-campaign** (references REF-031 through REF-045): a complaint to the Privacy Commissioner over Auror/ANPR under the Privacy Act 2020; a request to the Auditor-General on Auror governance and value-for-money (REF-042); a letter to the Solicitor-General and Crown Law's Public Prosecutions Unit on the conduct of the case (REF-043); a second supplement to an IPCA complaint (26-33766); and a section 30 Criminal Disclosure Act application after CJSU supervisor Graham King refused further disclosure. The leading authority cited: *Tamiefuna* [2025] NZSC 40.

> *Disclosure response due 30 June; first call 7 July, Auckland District Court, Albert Street. The exclusion argument is the case; the privacy campaign is the pressure around it.*

On **26 June** the **Notice of Plea — NOT GUILTY** to all three charges was completed and sent to Claymore (James Ryan, Jack Ormiston), copied to David Jones' chambers, for filing before 7 July; Crown Law's Philip Coffey wrote (ref CLO-DOCS.SOL115.2389), and two Police OIA responses arrived (IR-01-26-18983, IR-01-26-9576). The honest footnote — and it belongs in the record — is in the same brief to counsel: Farhad told David Jones KC that his *"over-caffeinated AI machine"* had produced paranoid, voluminous output, "a few kites flown," and that strategy would be set by counsel, *"not the aforementioned AI."* The machine surfaces; it does not decide.

FRONT 05 · THE LITIGATION SUITE

Castra and the others.

A Court of Appeal, a statutory demand, a body-corporate, a concession.

The litigation suite carried over from Volume One and reached real milestones. In **Castra v Black Interiors**, the appeal moved to the Court of Appeal: appellant submissions and bundle of authorities (CA786/2025) were filed and served on **23 June** via Murray Tingey and Celia O'Kane, with an internal appeal-likelihood assessment produced the same day. The **Greenwood Roche statutory demand** (Rob Harris, GREE-ACTIVE.FID204926) narrowed to a last $10k. The **Kepler One** body-corporate levy (BC 416018, Unit S502, 326 Evans Bay Parade) reached an expired-demand deadline on 25 June.

Not every matter was fought. The **McBride** dispute was conceded — following the Law Society's Notice of Decision (file C0025148), Farhad instructed RA Law's Richard Allen to release trust-account funds and declined to appeal. Knowing which matters to close is its own discipline.

THE SUITE · STATUS AT 26 JUNE

APPEAL	Castra v Black Interiors — CA786/2025 submissions filed 23 Jun (Tingey / O'Kane).
DEMAND	Greenwood Roche — last $10k outstanding (Rob Harris).
LEVY	Kepler One BC 416018 — demand expired 25 Jun, payment-or-proceedings.
CLOSED	McBride — conceded; trust funds released; no appeal (LS C0025148).
WATCH	Terra Capital Partners in liquidation; Castra is a Hyperion DOCA guarantor pending strike-off.

FRONT 06 · THE BOARD, AT A GLANCE

The risk surface, end of window.

Every live front, ranked, with its next hard date.

FRONT	SEVERITY
Hyperion DOCA · watershed 8 Jul	Critical
Police v Moinfar · first call 7 Jul	Critical
NOPA filing · Galleon/Mirador	Critical
Babich contingency · $7.79m uplift	High
ERA 3407924 · IM 18–19 Aug	High
126 Featherston · mgmt handover 30 Jun	High
Castra v Black · CoA	Med
Albany SPV reinstatement	Med
Lowthers negligence (potential claim)	Med
McLeans phase-one decision	Med

JULY'S HARD DATES

2 Jul	IRD liquidation hearing — *discontinued 26 Jun.*
7 Jul	Police v Moinfar first call, Auckland DC.
8 Jul	Hyperion watershed meeting, 1:00pm — DOCA vote.
5–8 Jul	McLeans Christchurch trip; mansion tour with Fortis.
mid-Jul	Telesto Holdings reinstatement.
18–19 Aug	ERA 3407924 Investigation Meeting.
Aug–Oct	Babich Stage 1 PC; titles.

THE SHAPE OF IT

Three criticals converge inside one week of early July — a creditor vote, a criminal call, and a tax-filing deadline. The deal engine kept producing through all of it; the question the Machine section asks is whether it could run that week from a register, or only from one operator's head.

Field

THE CHRISTCHURCH THEATRE · THE PIPELINE · THE ROOM

FIELD 01 · THE SOUTHERN THEATRE

Christchurch.

The Welder, 18–20 Welles Street · Manchester Street · and a city becoming Citadel's second stage.

Plate ix. The Welder, 18–20 Welles Street — the Christchurch base from which McLeans, the Manchester Street cluster and the southern pipeline are run.

Christchurch was where the operator physically was for much of the window — a multi-day trip 14–17 May, flights down and back on 2 and 4 June, and the 5–8 July return already booked. The Welder is the anchor; around it the Manchester Street cluster thickened. Beyond the McLeans subdivision at 387, conditional contracts were issued on **411, 411A and 413 Manchester Street** through Citadel Capital Services, and an additional title at **176** was pursued through Savills' Norman Engel.

The wider southern pipeline ran warm and selective: 176 Gloucester at $10k/month; 74 Oxford Terrace countered at $5.5m before the vendor walked on the DD window; 7–15 Kirkwood Avenue; 207 St Asaph Street near the Welder; the Merivale comparables (the Mansfield) reviewed with Savills and BSW. The discipline was visible — deals were countered, conditioned and, when the terms did not hold, allowed to die.

> *Christchurch stopped being a single acquisition and became a theatre — a base, a heritage flagship, a street cluster and a live pipeline, all run from one room on Welles Street.*

FIELD 02 · ORIGINATION, IN PARALLEL

The pipeline.

New sites worked up while four projects and six fronts ran live.

The clearest proof the deal engine never paused is the origination that happened *alongside* the administration. The headline new name is **3370 Great North Road — "Eden Row"**: an 800sqm West Auckland site of part-built, ex-bank-stock townhouses, taken from cold lead to a full work-up — feasibility at land values of **$625k and $725k** (prime LVR on completion 65%), a $25k vertical-demolition quote from Gus Macdonald, a sales brochure, a microsite, a THAB land-comp analysis and a sanitisation-and-hoarding brief — with a revised unconditional offer of **$605k** to Alpha First on 15 June.

Around it: a **"Boats for Buildings"** proposal with full draft SPAs to Matthew Horncastle of Williams Corporation (10 June); Connal 145, a heavy-industrial DD; a Parnell project Indi Patel of Project Floors is chasing to get into early; Citadel Greenpower's solar-and-roof-rights package to Lightforce Solar. Even the vehicle financings — a Bentley Mulsanne acquired through Kepler One on a Lending Crowd facility — moved on the same engine.

WORKED UP THIS WINDOW

3370 GNR · Eden Row	$605k offer · feas. $625k/$725k
Williams Corp	"Boats for Buildings" · draft SPAs
Connal 145	Heavy-industrial DD
Parnell	Concept plan · Project Floors
Citadel Greenpower	Solar rights · Lightforce LOI
Manchester St 411/411A/413	Conditional contracts

Six fresh origination threads in the same six weeks the holding company entered administration.

FIELD 03 · COUNTERPARTIES OF THE PERIOD

The room.

The people who entered the file across six weeks — counsel, administrators, consultants, agents, the Crown.

Plate x. The room widened sharply this quarter — insolvency practitioners, a King's Counsel, the Crown, and a forensic accountant joined the standing cast of designers and agents.

The counterparty graph this period tells the story by its new entrants. **Insolvency:** Damien Grant, Adam Botterill and Peter Drennan of Waterstone. **Counsel:** David Jones KC on the criminal file; Murray Tingey on the Court of Appeal; James Ryan and Jack Ormiston at Claymore; Russell Bartlett KC on Albany. **The Crown and regulators:** Crown Law's Philip Coffey, CJSU's Graham King, the IPCA, the Privacy Commissioner, the Auditor-General. **Tax:** Cecilia Wu and Fergus Cleaver, against the prior accountants at Lowthers.

The standing cast held: Studio 11:11 (Annabel Smart, Nathan Varga), Lepoutre, Jared Lockhart, BSW's Marc Peterson, CPMC's Tom Lynch and Martin Russell, RDT Pacific's Scott Mackay, Tattico's Vijay Lala. The funders — FMT, Capital Group's Michael Albert, Fortis's James Beale, Alpha First's Stephen Crerar. The agents — Savills, CBRE, Bayleys, Matty Ma. And the new art names around McLeans: Matt Liggins, Anton Forde, Milly Wall, Elle Foenander of Föenander Galleries.

> *A standing army of the country's best names — now joined by the people you call when the holding company goes into administration and a charge is laid.*

Machine

LIGHTSPEED IN PRODUCTION · THE RESEARCH DESK · THE GAPS · THE PLAN

MACHINE 01 · THE OPERATING LAYER, RUNNING

The machine ran every day.

The system that surfaced this report is the system this report is about — and it produced through all of it.

The headline is endurance. Through a Christchurch trip, a Fiji week, a corporate administration and a criminal charge, **Lightspeed produced its daily briefings without missing a beat**: across 23 weekdays, morning 22, midday 23, evening 23, event sidecars 23, and 69 team rollups — a single missed morning on 22 June. The **brain corpus grew from 104,093 to 153,679 summaries** over 126,279 source documents, roughly half as much again as it held in mid-May. This is the operating rhythm Volume One promised, now simply embedded.

The architecture is concrete. A **launchd-scheduled Python runner** — not the n8n design the spec called for — produces four slots a day in Markdown and HTML, plus per-person team aggregates for Farhad, Brandon, Zach and Nicki, and the named AI personas. Inference runs on **Ollama at citadel-intel:11434** with a **gemma3:12b** fallback. A live dashboard and action API sit on **port 8787 over the tailnet** (100.83.125.34) — /api/actions returned six current must-land items parsed from the 26 June briefing, with completed-action state persisted back. A note-router on 127.0.0.1:8788 classifies inbound captures and routes them. Every deliverable gets a Markdown twin and a front-mattered summary under `_llm/`.

> *It is a dependable daily cockpit. It is not yet the control plane the doctrine demands. That distance is the whole of this section.*

The briefings did real work — they surfaced the 12:00 ERA filing deadline, the Galleon NOPA inputs, the Hyperion GST obligation, the 126 Featherston bid and an overdue supplier invoice, on the right days, in the right order. But the same machine, on a live legal matter, was also *materially wrong*: it briefed the Hyperion situation as an IRD liquidation when the company was already in voluntary administration, and had to be corrected by hand. A cockpit that briefs the wrong status on a critical front is exactly why the next page matters.

~49.6k	68 / 69	8787	2.8×
NEW SUMMARIES	**DAILY BRIEFS SHIPPED**	**ACTION API · TAILNET**	**LEVERAGE · TARGET 5×**
104,093 → 153,679 across the window.	Morning/midday/evening; one miss.	6 must-land actions, state persisted.	By 30 Sep, per Doctrine v1.0.

MACHINE 02 · INTELLIGENCE, PRICED AND REVIEWED

The research desk.

Deep research, an adversarial reviewer, and a dollar figure on every brief.

The most mature machine capability this quarter is the research desk. Each brief runs a pipeline: **Perplexity sonar-deep-research** for primary collection, sonar-reasoning-pro for synthesis, then a **Claude opus-4-7 reviewer** that returns a verdict — ship, revise, or reject — with a USD cost stamped on every stage. The reviewer is not decoration: it consistently strips fabrication. In the May tranche it *rejected* briefs outright for inventing million-dollar listings, misreading the query, naming the wrong entity (Williams Corporation), and returning Albany, New York data for Albany, Auckland.

In this window the desk produced a coherent body of work on a single question — **price discovery for the RYU Albany acquisition programme**: Albany 0632 listings above $1.0m (138 Salerno Rise at $1.23m anchoring a $1.05–1.40m band), Babich Rise pricing against a thin Henderson Valley comp set ($1.285–1.45m versus a ~$1.6m local ceiling), corporate due-diligence on Sequoia Development, Albany City Development Corporation and Precinct Properties. The recurring finding is honest about its own limits: the binding constraint is data opacity — the address-level settlements sit behind CoreLogic and Valocity paywalls, not on the public portals.

> *A reviewer that rejects its own desk's fabrications, and a cost line on every brief, is the beginning of the cost discipline Volume One said the programme still lacked.*

IN-WINDOW BRIEFS · COST & VERDICT

BRIEF	USD	VERDICT
Albany 0632 listings (2 Jun)	1.14	revise
Albany City Dev Corp (3 Jun)	1.39	revise
Precinct Properties (4 Jun)	1.06	revise
Sequoia Development (5 Jun)	—	revise
Auckland 0632 sales data (7 Jun)	—	revise
Babich Rise pricing (8 Jun)	—	revise
Albany 0632 sales (10 Jun)	—	revise

THE REVIEWER EARNS ITS FEE

Per-brief cost ~$1.06–1.39. The opus-4-7 reviewer fixed a PPT↔PCT ticker error, removed invented director and shareholder data, and dropped speculative correlations — turning raw deep-research output into operator-usable intelligence.

MACHINE 03 · EVERY SIGNAL CAPTURED, GAPS NAMED

The gaps, identified.

A full trawl across all surfaces — and an honest account of what it could not find.

This volume was built from a deliberate sweep of every surface the programme touches — Dropbox daily briefings, Gmail, Google Drive, Calendar, Notion, and the brain corpus. The instruction was to capture every available signal and name what was missing. The 26 June audit's verdict on the operating layer is one word: **AMBER**. Here is why.

The control plane is still missing.

Doctrine v1.0's load-bearing requirement — a single canonical matter registry — does not exist as a file. The Citadel-Intel `02-index` and `06-governance` folders are empty shells. The system can brief and remind, but cannot run a weekly operating review from registry data. The operator remains the hidden integrator.

Notion froze on 5 May.

The structured-state migration Volume One celebrated recorded **zero writes** across the entire window. The Trojan databases are pristine — and seven weeks stale. "Structured state → Notion wins" is doctrine the window did not honour.

"sheba" was down every day.

The compute node reported unreachable on all 23 weekdays — because no health endpoint exists for it. Telemetry, meanwhile, hard-codes `errors_today = 0`: the dashboard looks healthier than the system is.

The audit substrate regressed.

From 28 April the event sidecars stopped emitting the rich risk/fact/monitor/opportunity registries and now carry only counts — so the forensic scorecard cannot be computed from data, only re-read from prose.

Inference is fragile.

Ollama timeouts recur — 17 error files across the window, 79 connection and 27 timeout events — forcing low-fidelity gemma3:12b fallbacks that emit calendar-conflict noise. The documented localhost:8787 endpoint actually collides with an unrelated SSH service; only the tailnet address works.

The runtime is past its use-by.

Python 3.9.6 is end-of-life; logs carry Google-library and urllib3 deprecations. The briefing-room test suite sits at 140 passed, 2 failed, 3 skipped — the failures are date-fixture artefacts, but they dull CI confidence.

The machine over-reached, once.

On the criminal file the operator told counsel his "over-caffeinated AI machine" had produced paranoid, voluminous output. On Hyperion it briefed liquidation when the answer was administration. The machine surfaces well; it must not be trusted to decide.

Surface gaps, named.

No board/IC papers and no signed SPA surfaced in Drive (only correspondence); Terra and Dempsey Wood threads did not surface in Gmail; the John@citadel.capital mailbox is dead and bounced the Babich drawdown chain. These are recorded, not papered over.

MACHINE 04 · FROM COCKPIT TO CONTROL PLANE

What the next six weeks are for.

The doctrine's first instruction, still unmet: build the control plane first.

1 — Build the matter registry, finally

One row per live matter — the eleven Doctrine fields: Matter ID, category, stage, risk tier, value tier, deadline, next action, routing rule, source-of-truth, human owner, automation coverage. It is the difference between a cockpit and a control plane, and the standing instruction is unambiguous: *"Build the control plane first. Without it, every other layer turns into clever chaos."* Three criticals converge in the week of 7 July; that week should be runnable from the registry, not from memory.

2 — Un-freeze Notion, or retire the claim

Either the structured state moves back into Notion as a living artefact — and the Project Pulse monitor that would catch workstream slippage is actually deployed — or the "structured state → Notion wins" doctrine is honestly retired. A pristine database nobody writes to is worse than none.

3 — Make the telemetry tell the truth

Stop hard-coding `errors_today = 0`. Add real health endpoints for citadel-intel, Ollama (primary and fallback), Gmail, Calendar, the note-router and sheba. A dashboard that masks faults is worse than no dashboard.

4 — Land the early-July criticals

The Hyperion watershed (8 July) turns on a single creditor conversion; the criminal first call (7 July) turns on the section 30 exclusion; the NOPA filings turn on the Companies Office clock. These are not machine tasks — they are counsel-and-operator tasks the machine should track to the day.

5 — Reconcile the Babich number

Kingstons' $7.79m uplift and the developer's disputed 25 September slip need one agreed position with FMT and Capital Group, with the new Maven engineer-to-contract owning the cost-to-complete that Terra never represented.

6 — Fix the runtime and the substrate

Migrate off Python 3.9.6; restore the rich event sidecars so the forensic scorecard computes from data again; clear the dead mailbox and the lapsed SPV registrations that the deal engine keeps outrunning.

Volume One asked whether motion could become architecture. These six weeks answered the harder half: the firm survived a controlled demolition of its own holding company and never stopped originating. The machine ran every day. The next volume is about whether it can run the firm from a register instead of a memory — and that is a building task, not a briefing one.

COLOPHON · END OF ISSUE

LIGHTSPEED

Volume Two — A documentary record of the six weeks from 15 May to 26 June 2026, New Zealand time: the reincorporation, the deals that did not pause, and the machine that ran through all of it.

Drawn from a full sweep of every surface the programme touches — the daily Lightspeed briefings and event sidecars in Dropbox; Gmail; Google Drive; Calendar; the Notion operating layer; and the brain corpus itself. Set in **Helvetica Neue** and **SF Pro** for body and metadata; chapter dividers and editorial asides set in **Big Caslon**. Aesthetic reference: *Softer Volumes — Hotels Vol. 01*. Data visualisations drawn in the stone palette, in keeping.

Synthesis prepared by the Lightspeed machine. Six parallel surface-sweep agents (Dropbox daily digests ×3, Gmail, Google Drive, Calendar, Notion and the Citadel-Intel / Citadel-AI desks) ran concurrently at the collection stage; findings were cross-checked and gaps recorded rather than papered over. Photography drawn from the McLean's Mansion marketing pack, the Citadel AI render library, the RYU Albany render set, the Babich Rise drone library, the THRIVE Central renders for 126 Featherston, and the Christchurch / Welder set.

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